

Indian Railway Finance Corporation Ltd

IRFC

13.0%
ROE

5.8%
ROCE

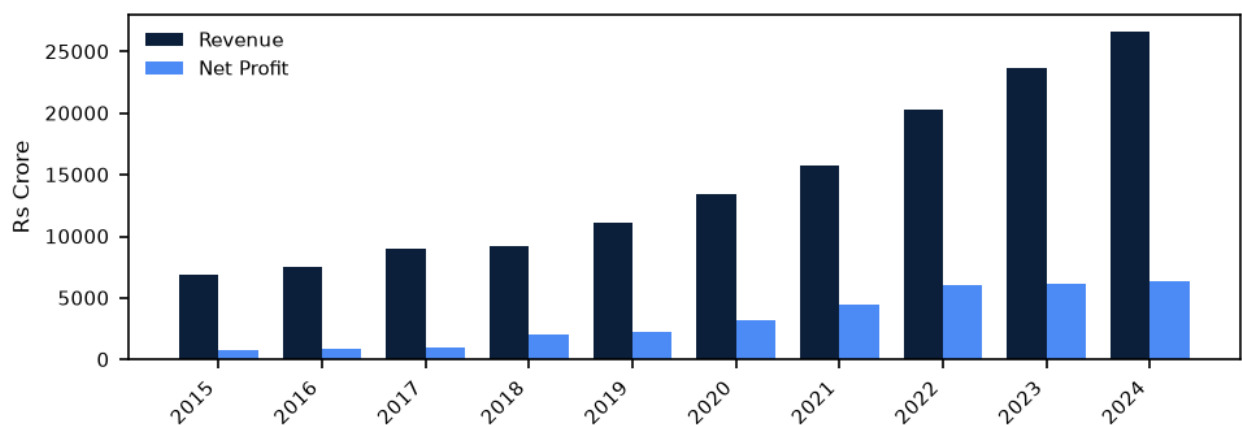
8.4x
D/E

99.5%
OPM

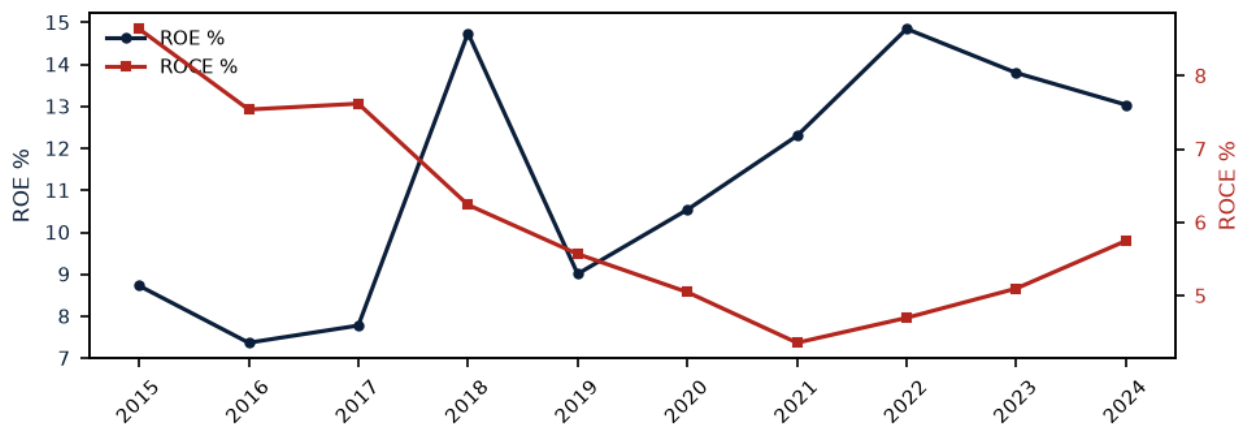
19.1%
Revenue CAGR 5yr

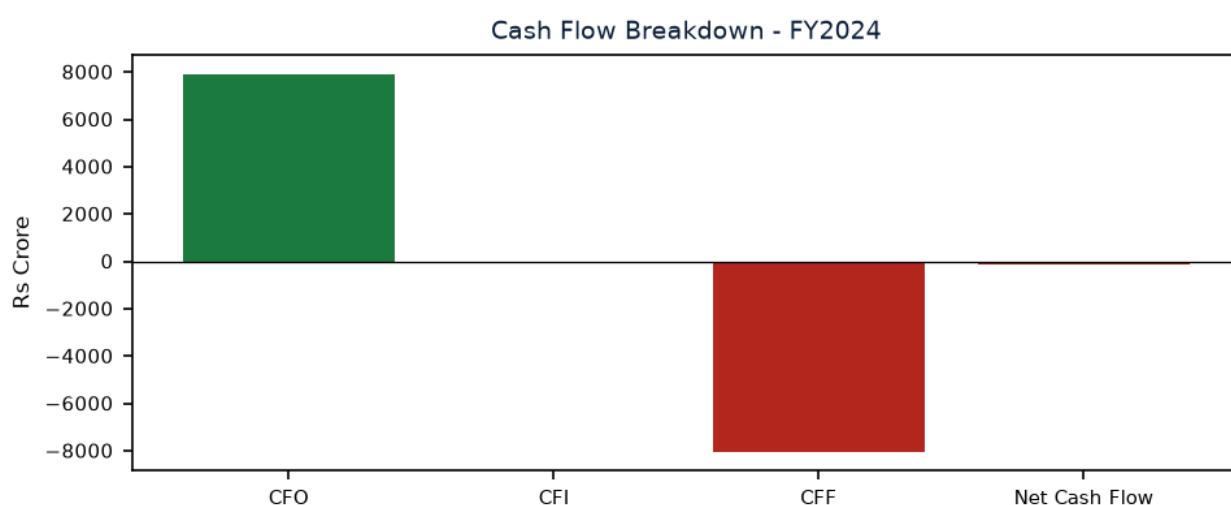
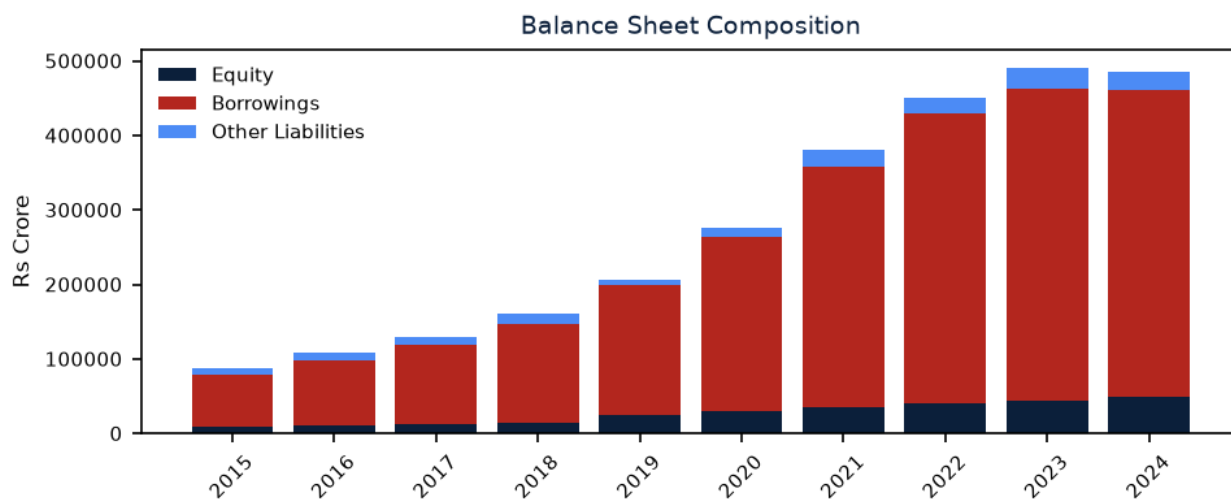
23.2%
PAT CAGR 5yr

10-Year Revenue vs Net Profit



ROE vs ROCE Trend





Pros

- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Growing asset base funded by internal accruals reflects self-sustaining growth
- + Revenue growing slower than profits shows improving operating leverage and scale benefits
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Consistent dividend yield above 2% backed by positive free cash flow
- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation Pattern

Reinvestor